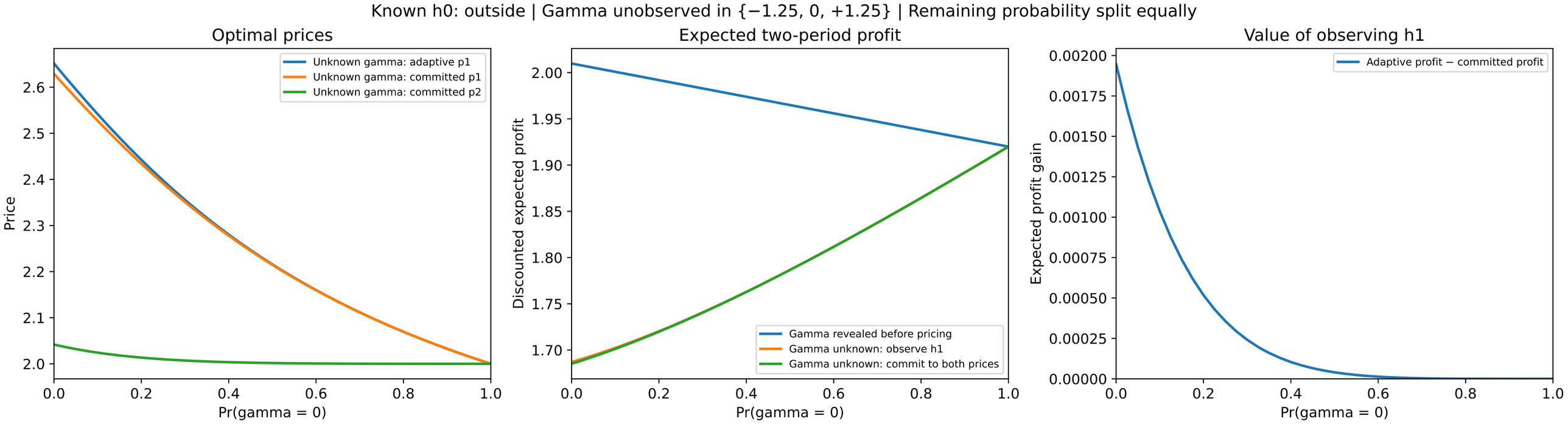
Known h0: outside | Gamma unobserved in {−1.25, 0, +1.25} | Remaining probability split equally
Optimal prices
Unknown gamma: adaptive p1
Unknown gamma: committed p1
Unknown gamma: committed p2
Price
Pr(gamma = 0)
Expected two-period profit
Discounted expected profit
Gamma revealed before pricing
Gamma unknown: observe h1
Gamma unknown: commit to both prices
Pr(gamma = 0)
Value of observing h1
Adaptive profit − committed profit
Expected profit gain
Pr(gamma = 0)